margin and essential goods at low rates. Goods and services which have reasonable value added margins or which are of the nature of comfort goods should be taxed at medium rates. The goods and services that have high value added margins or are of the nature of luxury should be taxed at relatively high rates of GST. Finally, a limited number of goods which are of the nature of sin or are of undesirable consumption from a social point of view, should be taxed at the highest rates of GST.

India's GST rate structure is riddled with considerable misapplication of GST rates. Further, the highest rate of 28 per cent is too high and 0/1 per cent and 5 per cent is quite low. Some goods are subject to a high rate of cess as well, making the real incidence of GST on these goods unconscionably high.

There is need to rationalize the GST tax structure. It might be advisable to design a three- rate tax structure—8 per cent, 14 per cent and 20 per cent —and to subject all goods and services by classifying these in these three categories taking into consideration the nature of margins and consumption.

Reforming Customs Taxation

Customs duties should essentially be viewed as similar to value-added tax on goods and services produced abroad. The goods and services imported should therefore suffer the same rate of goods and service tax as similar goods and services when produced domestically suffer. After the introduction of GST, these duties are levied on all imported goods (earlier as countervailing or additional customs duties)

In addition, basic customs duties are charged on most imported items at rates prescribed in the Customs Tariff Act. In principle, these customs duties act like additional excise duties/GST imposed. These basic customs duties end up effectively raising the level of GST imposed on imported goods. In that sense, these provide extra protection to the domestic producers of the goods and services.